
SSI
EXTRAORDINARY
DrawIn Your Journey
ROUND 2: FUNCTIONAL CASE

EXCUTIVE SUMMARY

Situation

Vietnam is entering a transformational phase, with economic growth reaching new highs, sustained government policy support underway.

Complication

However, the escalating Middle East tensions drives up raw material prices and cost-push inflation significantly impacts Vietnam's economy.
In addition, Vietnam's market is predominantly retail-driven, where FOMO sentiment often outweighs intrinsic value.

Question

- Which sectors stand to benefit and which face the greatest risks as consumption shifts toward more selective capital allocation rather than FOMO-driven flows?
- Which stocks offer strong intrinsic value and sustainable competitive advantages in the current environment?

Solution

- Reducing exposure to non-essential sectors
- Focus on attractively valued sectors with strong fundamentals

Stock recommendation

SSI driven by:

- Competitive advantage of financial structure and market share
- High ROE
- Large quality collaterals
- Ride the next wave early

BUY RECOMMENDATION
Upside 15.1%

1-year target price: **VND31,081**
Last close 3/4/2026: **VND27,000**

International Context

Global GDP growth is projected to slow from 3.3% last year to 2.9% in 2026 according to OECD due to

- Accommodative monetary policies between the US and China.
- The current conflict in the Middle East

Middle East conflicts are casting a gray tone over the 2026 outlook, however, there are still bright spots in Vietnam:

Bright spots

Policy support

- The 2026 public development investment plan is estimated at **VND 1.12 quadrillion**, up **41.6% YoY**, with **disbursement** expected to reach around **80% of the plan**.
- Petroleum price stabilization fund

Domestic consumption

Domestic consumption continues to play a key supporting role, which were up 7.9% YoY in the first two months.

Cautious spots

Trade Balance (Cautiously Positive)

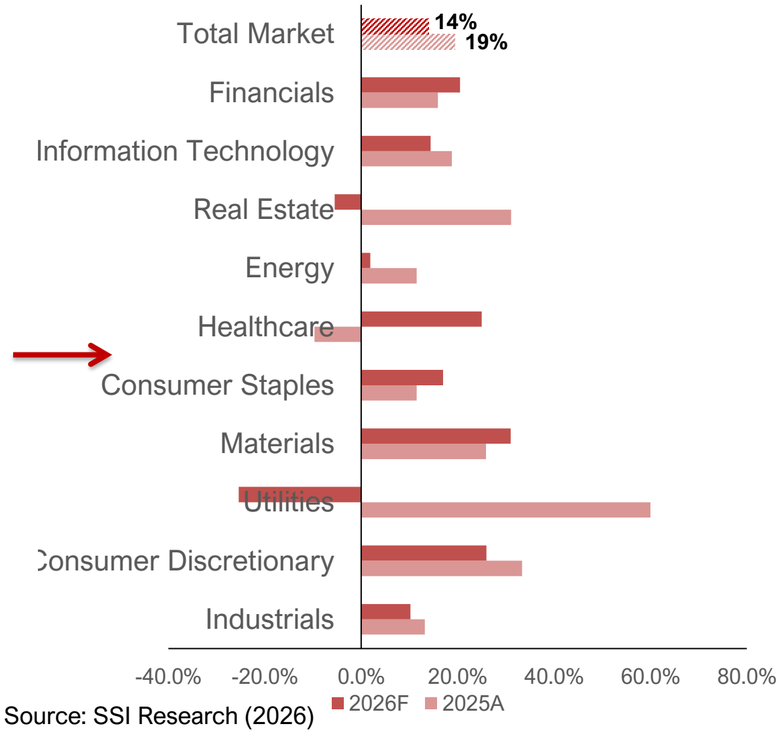
Recorded a trade deficit of first two months of 2026

- Higher input cost: directly affected from a volatile global economic environment.
- FDI inflows cautious in expansion, surrounding reciprocal tariffs and logistics costs.

PMI rate declined

Although PMI remains above 50, the decline to 51.2 indicates that rising input costs are significantly impacting the manufacturing sector.

NAPITMI Growth 2026F **14%**



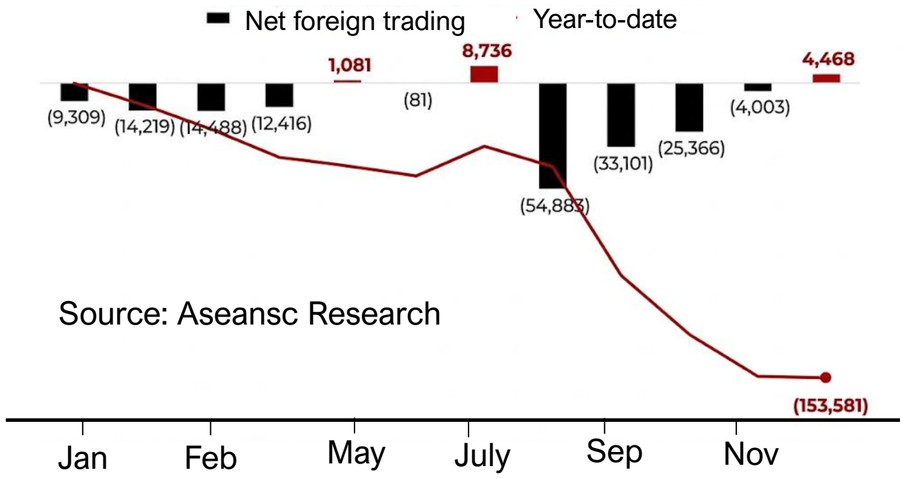
Source: SSI Research (2026)

Despite some positives spots, the economy remains macro-sensitive, resulting in consumers staying cautious and more selective, reducing exposure to non-essential sectors, especially consumer discretionary and real estate

A New Era for Stock Market

Vietnam is undervalued compared to regional countries due largely its retail-driven market, but it is now showing signs of a cycle turning point with net foreign selling pace slowed down, more policy supports and attractive entry point

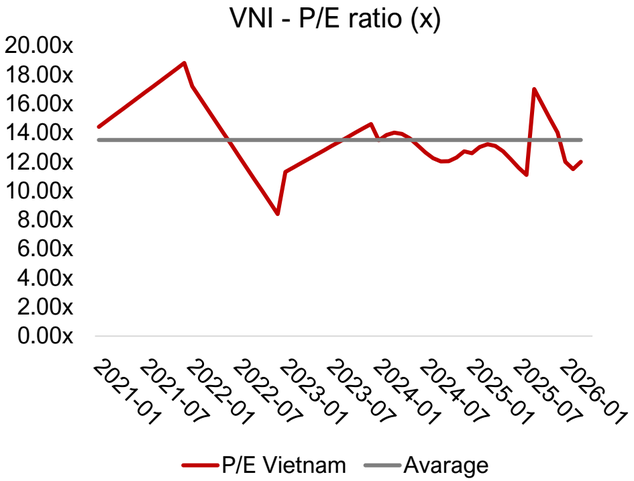
1 The net foreign selling pace slowed from September and turned into net buying from in December



Source: Aseansc Research

2 Well-time entry point

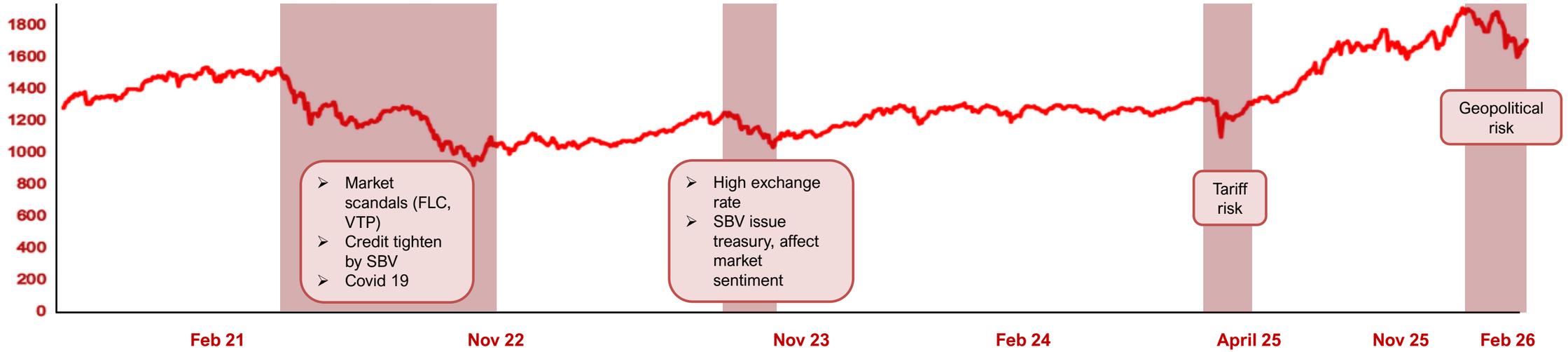
VNI P/E at **~12x** compared to ~14x for regional peers, and lower than 5 years average



Source: TradingView

VNI is largely **retail-driven**, characterized by strong **FOMO** behavior and lingering impact of past scandals (chart below)

VN-Index Historical Events



A New Era for Stock Market

More and more supportive catalysts for the stock market…

1 POLICY SUPPORT

Price stabilization
Reduce **oil price** volatility, **inflation**

Circular No. 08/2026/TT-BTC
Enhancing stock market enhancing **transparency**

Directive No. 01/CT-NHNN
Credit growth target of **15%**

Directive No. 26/CT-TTg
Disbursement of public investment

2 FTSE Russell earliest possible upgrade to Secondary Emerging Market — Sep 2026

2028 - 2029 — MSCI earliest possible upgrade

VN-Index closed out 2025 with total market capitalization approached **$384.6 Billion**

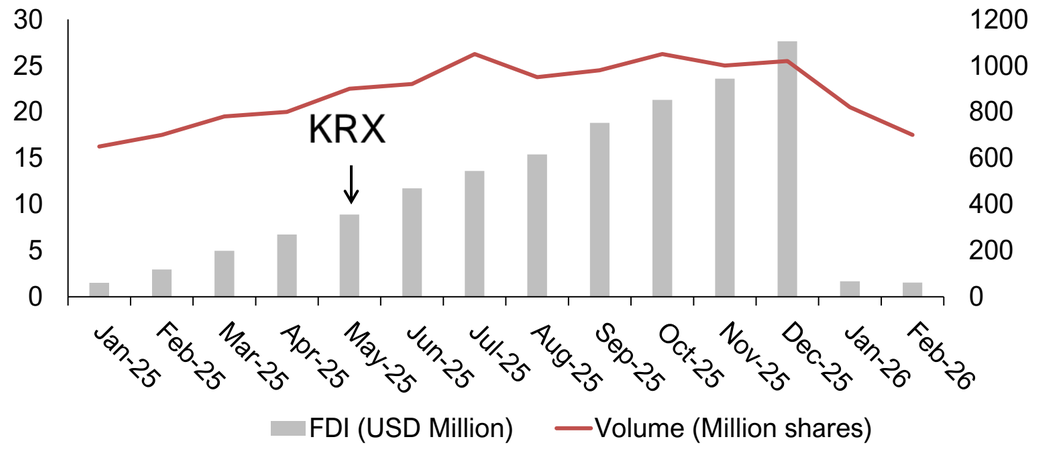
$25–30 Bn expected by 2030 (According to World Bank)

Total market capitalization approached **$505 Billion** after the upgrade.

3 KRX liquidity has remained stable after one year

Source: Aseansc Research (2026)

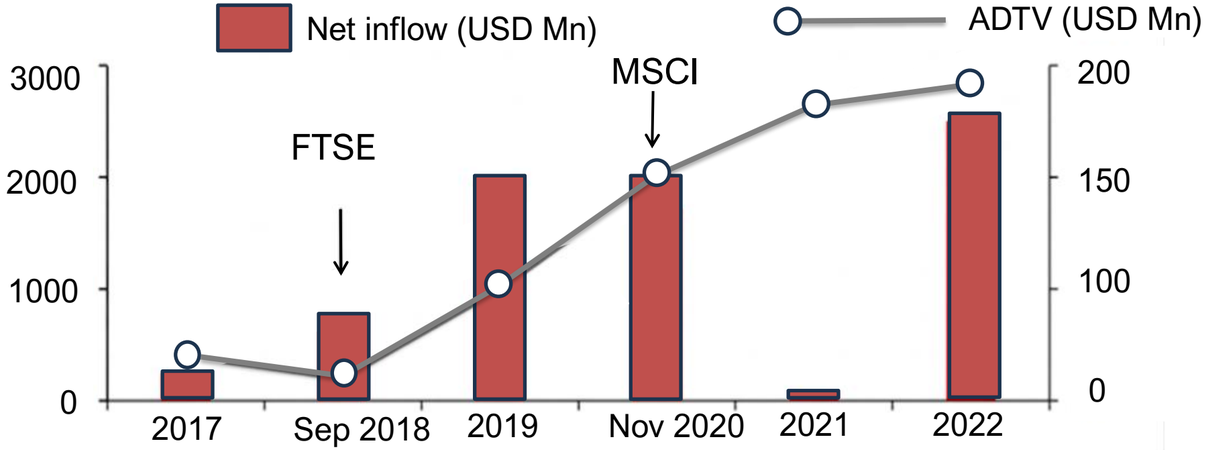
FDI Inflow and Volume Trading (monthly)



Source: TradingView

Historical precedents clearly demonstrate the positive impact of upgrading:

Case study: Kuwait's performance through periods of upgrading



Source: GBSA Insights (2019)

The Alpha's stock: SSI - 24 years of leading position across all sectors

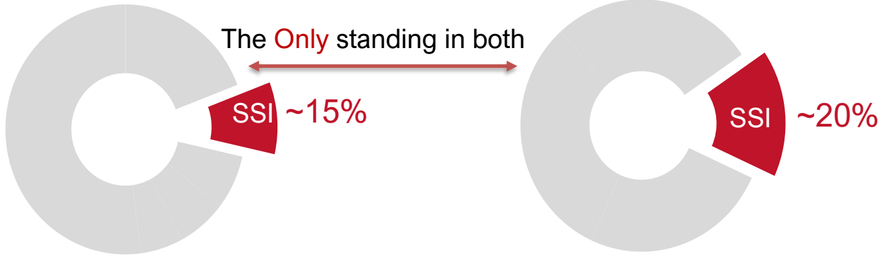
SSI is the only securities company that excels across all five critical business sectors of the securities industry

BROKERAGE 1

18% SSI Revenue

Top 1 Institutional and Foreign Clients

The Only standing in both



Retail brokerage | Institutional brokerage

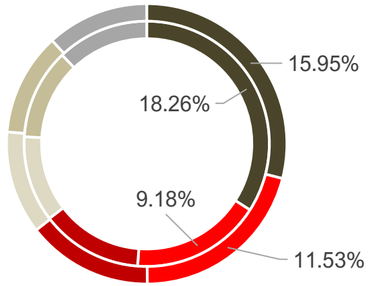
Source: Hose

SSI maintains a solid top brokerage over years indicating strong market positioning.

- Institutional & Foreign client base
- **$1.3bn non-prefunding** capacity as a "trump card"

Well-positioned to capture FDI inflow after the upgrade

Brokerage Market Share (Inner: 2024, Outer: 2025)



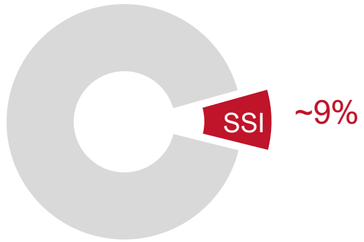
VPS SSI TCBS Vietcap HSC Others

MARGIN LENDING 2

28% SSI Revenue

Top 2 In lending market share

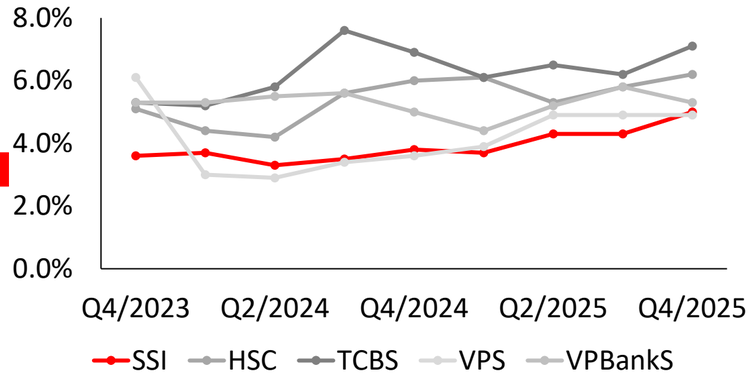
Top 1 margin lending room



Source: SSI, HOSE

Competitive edge of accessibility to **low borrowing costs** offers competitive **lending rates** while still maintaining high profitability

Margin Lending Rate



Source: Mekong ASEAN

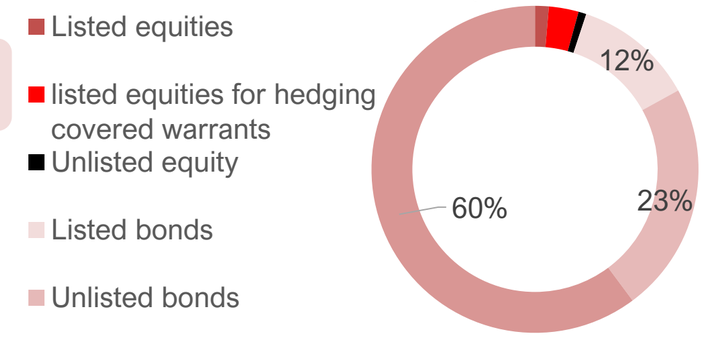
The Alpha's stock: SSI - 24 years of leading position across all sectors

SSI is the only securities company that excels across all five critical business sectors of the securities industry

PROPRIETARY TRADING 3

51% SSI Revenue

Asset Distribution (2025)



Equity-driven portfolio with sufficient fixed-income buffer

A large pool of high-quality collateral assets.

Allowing SSI to access larger and cheaper borrowing cost than peers

INVESTMENT BANKING, ASSET MANAGEMENT, AND OTHERS 4

Investment Banking

The partners of major institutions

VINHOMES BIDV VINAMILK VIGLACERA

Asset management

Top 4-5 AUM

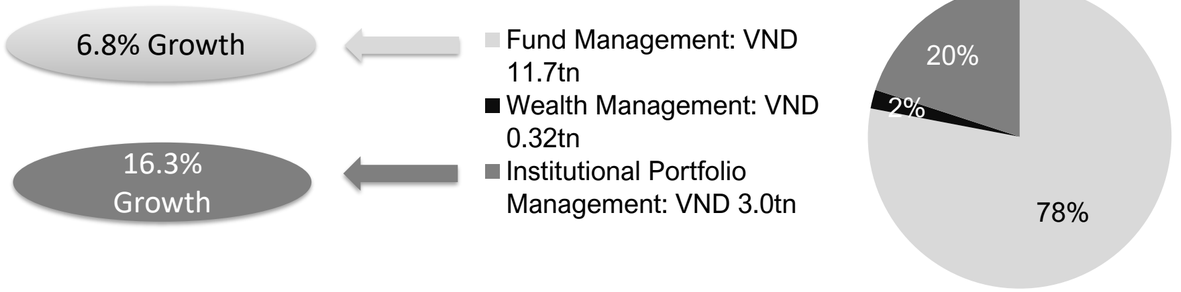
Top 3 best-performing open-ended funds

3% SSI Revenue

SSIAM in 2024
Expanded distribution channels + Partnership with VPBankS, DigiInvest, Investing Pro

Broadening customer reach and delivering more **flexible, accessible investment solutions.**

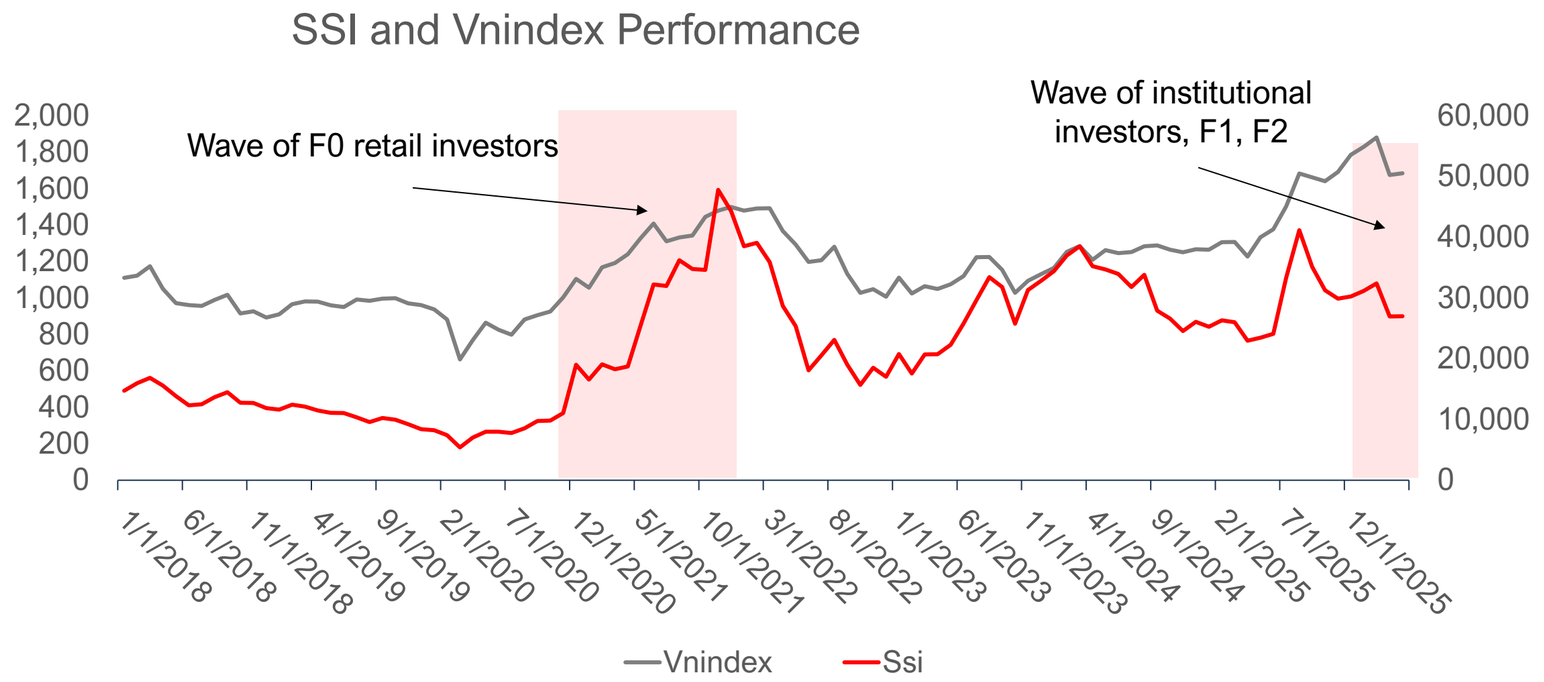
SSI's AUM Breakdown (2024)



Source: SSI, HOSE

Source: SSI annual report

SSI: One of the first to capture the trend of stock market



The linear regression **Y = -0.0008 + 1.02X**
(X = VN Index, Y = SSI)

SSI tends to lead and capture the upward trend of the VN Index.

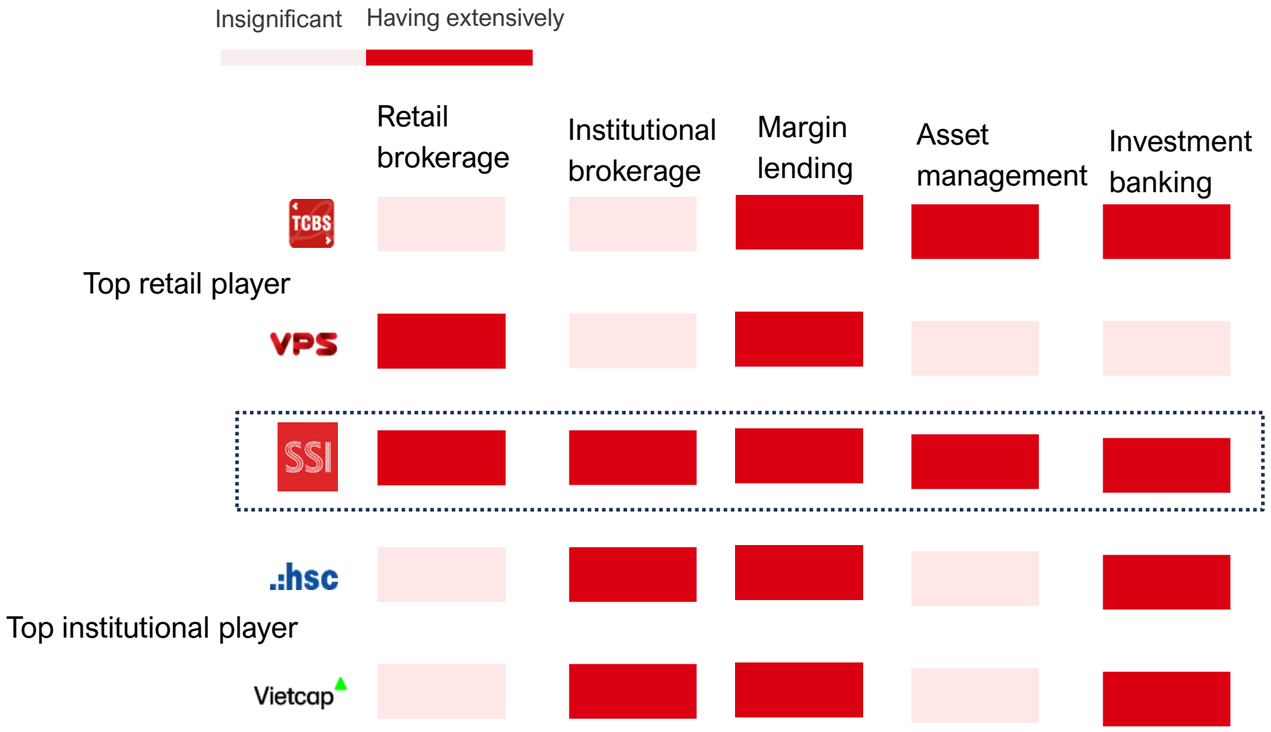
Compares to case from 2019 to 2021, when there was a wave of F0 retail investors during covid, but no significant policy improvements, SSI still catch the trend

2019 → 2021 SSI Uptrend	
Wave of F0 retail investors	
No significant government policy improvements	
Market share	10.2% → 14.5%

2024→2025→2026 SSI Uptrend	
Wave of institutional investors, F1, F2	
Market upgrade & trading system enhancement (e.g. KRX)	
Market share	14.5% → 12.5% → 15%

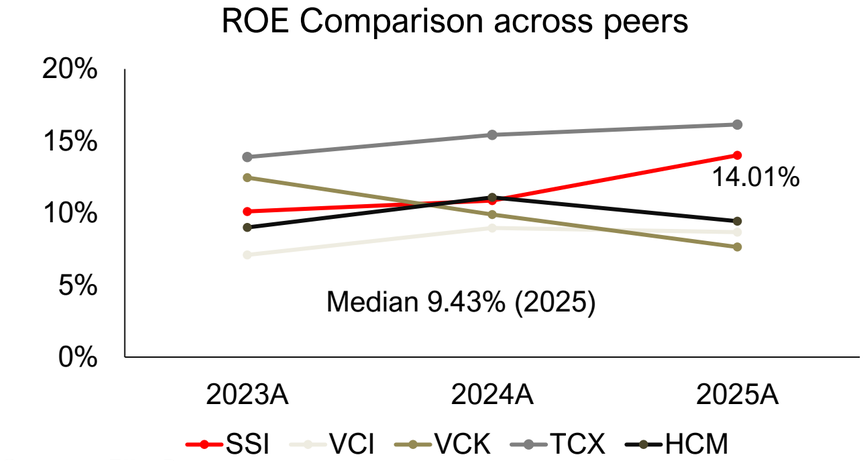
One-stop investment powerhouse

The only company stands out by offering a comprehensive range of services

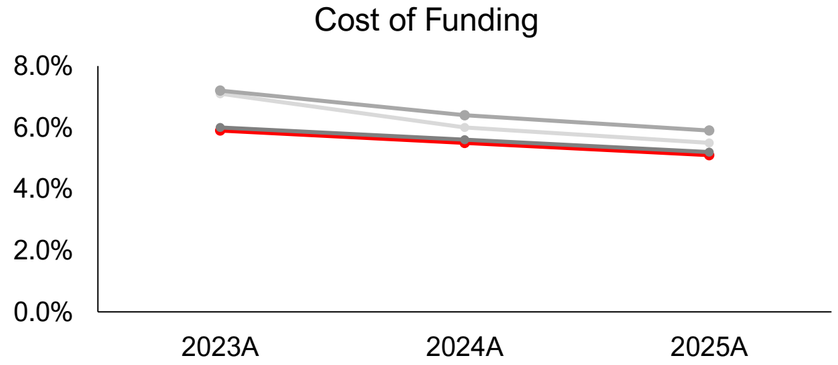


Source: Author's compilation

Low cost of funding allows SSI to offer relatively competitive margin lending rates compared to the industry, while still maintaining an ROE more than 5% higher than the median of large peers



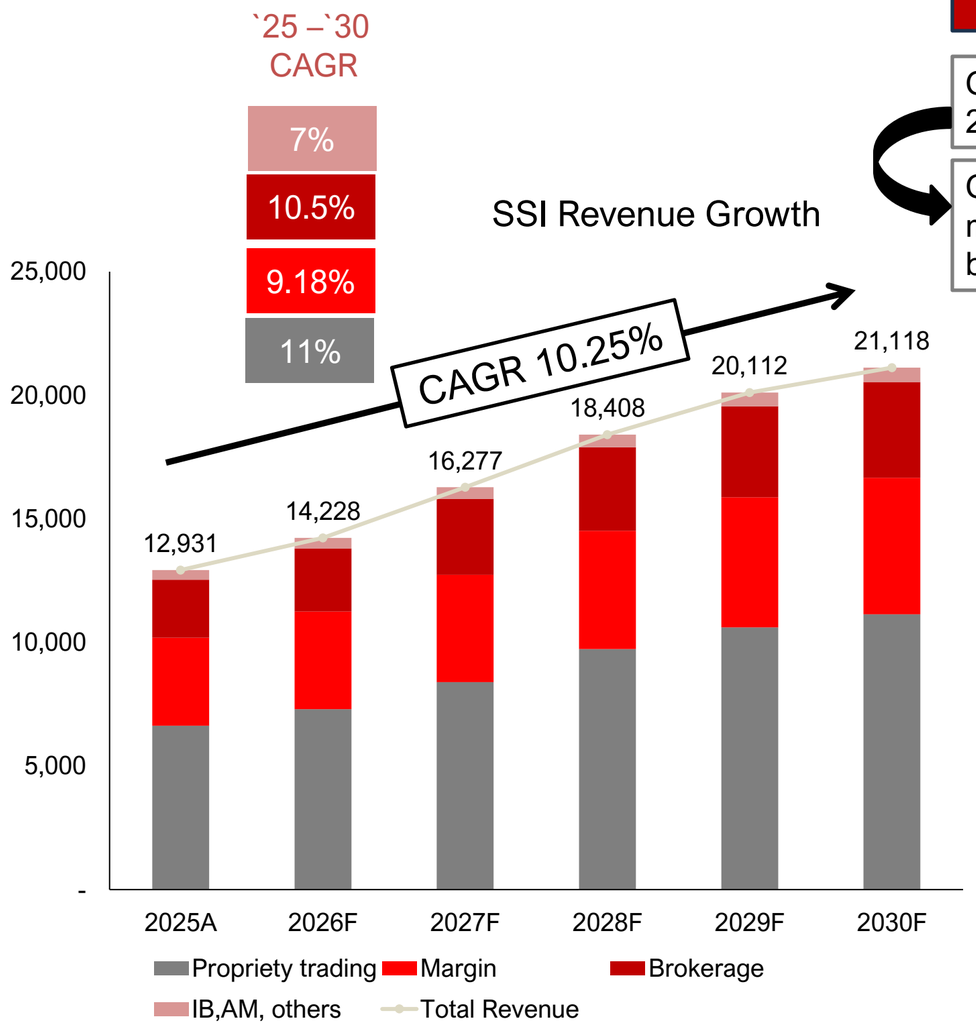
Source: Fiin Pro



Source: Author's compilation

SSI valuation

SSI's total revenue is expected to growth 10.6%% CAGR



Rationale for revenue segments forecast

Given lingering **geopolitical risks** in the Middle East and the upgrade timeline skewed toward **late** 2026

Growth in 2026 is likely to transition year with muted revenue momentum, while 2027 marks the beginning of a stronger upcycle

→ Therefore 2026 revenue growth is likely to be more aligned with government direction rather than delivering outstanding growth, at around 10%

2026 Revenue Forecast

IB, AM & Others (+8%)
Smaller contribution but stable

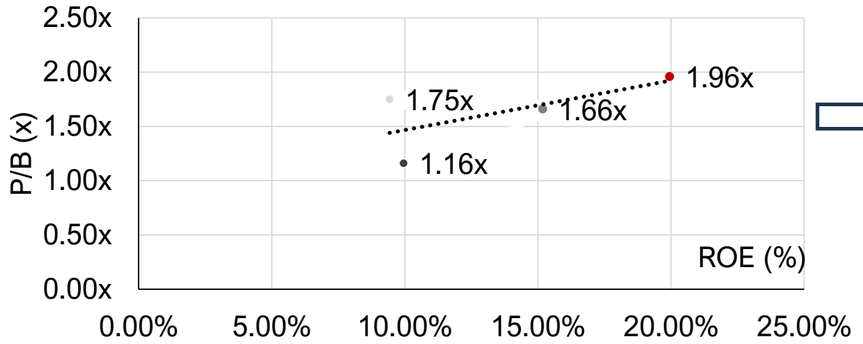
Brokerage (+10%)
Non-prefunding unlocks foreign trading flows
Strong institutional & foreign client base

Margin Lending (11%)
Lower funding cost supports high NIM
Capital increases expand lending capacity

Proprietary Trading (10%)
Strongest growth driver
Leverages liquidity surge & index upside pre-upgrade
Capital scale enables value investing & arbitrage opportunities

SSI valuation

1 P/B valuation



SSI **~1.96x P/B**, near the median of peers, not reflecting its **leading position and superior profitability**

The P/B forward **~2.0x** underscores expectations of sustained competitive edge, above-peer operating efficiency

2 P/E valuation

	Bull case	Bear case
The highest risk → Market growth	EM market upgrade complete	EM market upgrade delay
	Easing tensions in the Middle East	Ongoing tensions in the Middle East
Capital efficiency	Utilize cost of funding	Unable to maintain low cost of funding

P/E forward +/- 2.0x compared median P/E TTM

Bull case	Bear case
16.5x	12x
Strong Buy	Sell

Current price 27,000VND

Multiples method

P/B forward	2.0x
BVPS 2026	15,761
Price	31,522VND
Weight	**50%**
P/E forward	16x
EPS 2026	1,915
Price	30,640VND
Weight	**50%**

Target Price 31,081VND
Upside: 15.1%

Ticker	Market Cap(billion VND)	EV (billion VND)	EV/EBITDA (TTM)	EPS (TTM)	P/E (TTM)	P/B (TTM)
SSI	68,629.74	125,274	16.35	1,971.35	13.98	1.96
TCX	117,890.76	145,862	15.57	2,712.92	18.80	2.67
VCK	89,605.05	93,848	20.54	1,613.20	22.81	3.11
VIX	40,674.78	49,958	7.03	3,377.22	4.92	1.90
VCI	30,928.76	43,780	17.81	1,311.17	20.55	1.72
HCM	25,486.98	52,675	35.22	1,453.81	16.23	1.75
Median	**54,652.26**	**70,175**	**16.71**	**1,944.44**	**14.39**	**1.94**

In case of SSI decrease 20% in a black swan

Long term view

Although SSI benefits from supportive policies and capital inflows in the long run, it remains vulnerable in a black swan scenario.

SSI characteristics	🚫 Avoid major mistakes
•High beta •Highly dependent on liquidity and market sentiment	•All-in based on “strong conviction” •Uncontrolled averaging down •Ignoring risk just because it’s a “blue chip”

In case of SSI decrease 20% in a black swan → Ask 3 quick questions:
- Is this a **systemic risk** or just panic?
- Is market liquidity collapsing?
- Are policies (e.g., margin rules) changing?

In case fundamentals remain intact + only short-term panic

hold a core position and actively trade the rest

Clear rules

1 **Cut losses when technical levels are violated**

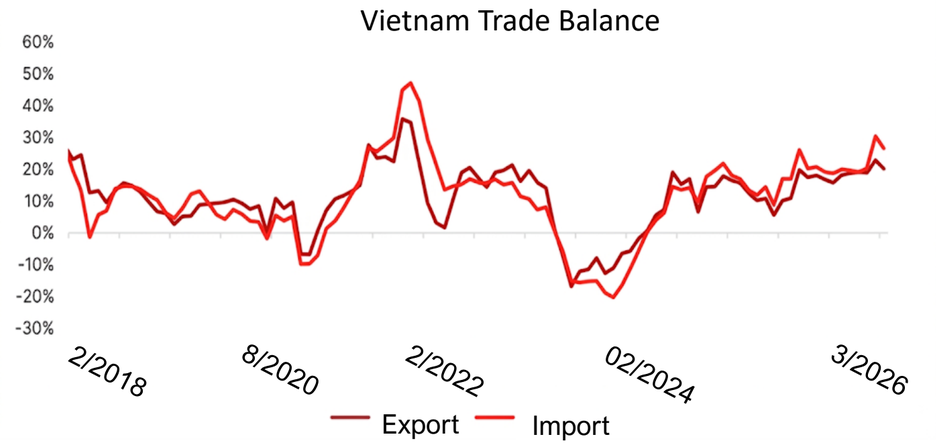
- Example: -10% → reduce 30–50% position
- -15% to -20% → reduce more aggressively

→ Exact numbers are less important than **discipline**

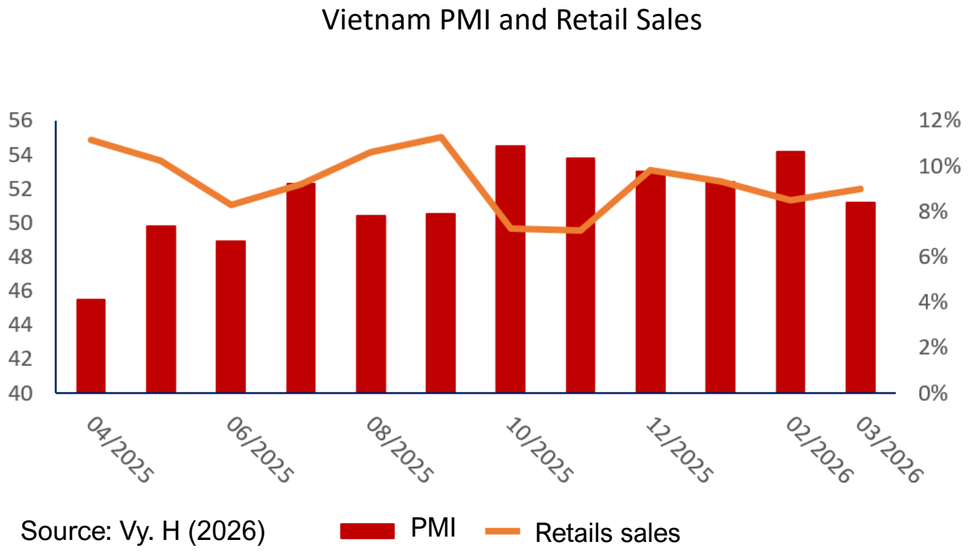
2 **Portfolio diversification**

- Avoid going all-in on SSI
- Maintain cash to average down
- Reduce high downside risk by reduce asset correlation (More weight for defensive industry)

APPENDIX A: VIETNAM MACROS FACTORS



Source: SSI, Fiin Pro



Source: Vy. H (2026)

Criteria for FTSE Secondary Emerging Market Upgrade Vietnam	
Formal stock market regulatory authorities actively monitor markets (e.g., SEC, FSA, SFC	Pass
No objection to or significant restrictions or penalties applied to the investment of capital or the repatriation of capital and income	Pass
Brokerage - Sufficient competition to ensure high quality broker services	Pass
Transaction costs - implicit and explicit costs to be reasonable and competitive	Pass
Transparency - market depth information / visibility and timely trade reporting process	Pass
Central Securities Depositary	Pass
Custody - Sufficient competition to ensure quality custodian services	Pass
Settlement - costs associated with failed trades	Pass
Settlement Cycle (DvP)	Pass
READY FOR THE UPGREAD	

APPENDIX B: SWOT ANALYSIS

STRENGTHS

Dominant Position in Institutional Brokerage: A fully integrated financial ecosystem makes SSI the premier destination for foreign capital inflows (estimated at billions of USD from ETFs) during the emerging market upgrade cycle.

Massive Capital Capacity: Continuous dividend payouts and share issuances to secure the Top 1 charter capital position create a robust risk buffer.

Stringent Risk Management: Rigorous credit assessment frameworks (S&I Ratings) enable SSI to maintain excellent asset quality, even as total market margin debt continually hits new peaks.

WEAKNESSES

Dilution Pressure and Capital Efficiency: Continuously raising charter capital to sustain a competitive advantage leads to significant share dilution. The management board faces immense pressure to optimize Return on Equity (ROE) and Return on Net Operating Assets (RNOA) compared to industry peers with leaner capital structures.

Eroding Retail Brokerage Market Share: Despite dominating the institutional segment, retail brokerage market share across all three exchanges (HSX, HNX, UPcom) remains under pressure from competitors employing zero-fee strategies or leveraging strong banking ecosystems (e.g., VPS, TCBS).

OPPORTUNITIES

Capitalizing on the Emerging Market Upgrade: With a highly transparent free-float structure, SSI is well-positioned for a breakthrough in institutional brokerage fees and block trades as foreign investors ramp up disbursements following the official market reclassification.

Pioneering Green Finance & ESG Products: As large-scale foreign capital flows in, ESG standards become a prerequisite. SSI has a distinct first-mover advantage in advising on green bond issuances and designing financial products linked to sustainability and carbon reduction targets.

THREATS

Counterparty Risk from NPS Implementation: Permitting foreign institutional investors to trade without 100% pre-funding (T+2 settlement) exposes SSI to significant clearing and settlement risks in the event of sudden market shocks or abrupt capital outflows.

The Tech and Quantitative Data War: Competitors are no longer just relying on zero-fee models; they are deeply integrating algorithms, regression models, and quantitative data analysis to optimize their trading platforms, posing a direct threat to SSI's ability to retain active retail traders

APPENDIX C: PEERS COMPARISON

	23A	24A	25A
Net profit margin			
SSI	**32.06%**	**33.36%**	**31.76%**
VCI	19.90%	24.64%	26.95%
VCK	8.37%	9.55%	10.47%
TCX	46.50%	45.72%	50.55%
HCM	0.00%	24.31%	22.95%
Gross profit margin			
SSI	**65.99%**	**61.45%**	**60.50%**
VCI	56.98%	53.53%	51.99%
VCK	28.46%	55.12%	59.79%
TCX	87.37%	90.87%	89.18%
HCM	0.00%	40.24%	38.62%
Equity turnover			
SSI	**0.31**	**0.34**	**0.44**
VCI	0.36	0.36	0.32
VCK	0.73	0.64	0.41
TCX	0.30	0.31	0.32
HCM	0.00	0.46	0.41

	23A	24A	25A
ROA			
SSI	**3.78%**	**3.79%**	**4.90%**
VCI	3.12%	4.15%	4.29%
VCK	3.72%	3.43%	3.13%
TCX	6.88%	7.93%	8.49%
HCM	0.00%	4.22%	3.03%
ROE			
SSI	**10.11%**	**10.87%**	**14.01%**
VCI	7.09%	8.97%	8.67%
VCK	12.46%	9.90%	7.64%
TCX	13.89%	15.42%	16.15%
HCM	9.00%	11.09%	9.43%
Current ratio			
SSI	**1.43**	**1.52**	**1.44**
VCI	1.81	2.03	2.07
VCK	1.67	1.57	3.28
TCX	2.12	1.90	2.19
HCM	0.00	1.49	1.45

	23A	24A	25A
D/E			
SSI	**1.86**	**1.70**	**1.88**
VCI	1.23	0.97	0.89
VCK	1.43	1.61	0.62
TCX	0.80	0.95	0.77
HCM	0.00	1.96	2.12
Financial leverage			
SSI	**2.66**	**2.62**	**2.78**
VCI	2.12	1.90	1.81
VCK	2.33	2.52	1.59
TCX	0.43	0.47	0.42
HCM	1.00	2.87	2.98
Cost of debt			
SSI	**5.9%**	**5.5%**	**5.1%**
VCI	6.2%	5.8%	5.3%
VCK	7.10%	6%	5.5%
TCX	7.20%	6.4%	5.9%
HCM	6%	5.6%	5.2%

APPENDIX D: DISBURSEMENT PLAN

PROJECT	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Long Thanh Airport										
North–South Expressway (Phase 2)										
Ring Road 3 (HCM)										
Ring Road 4 (Hanoi)										
Can Gio International Port										
North–South High-Speed Railway										



Under construction

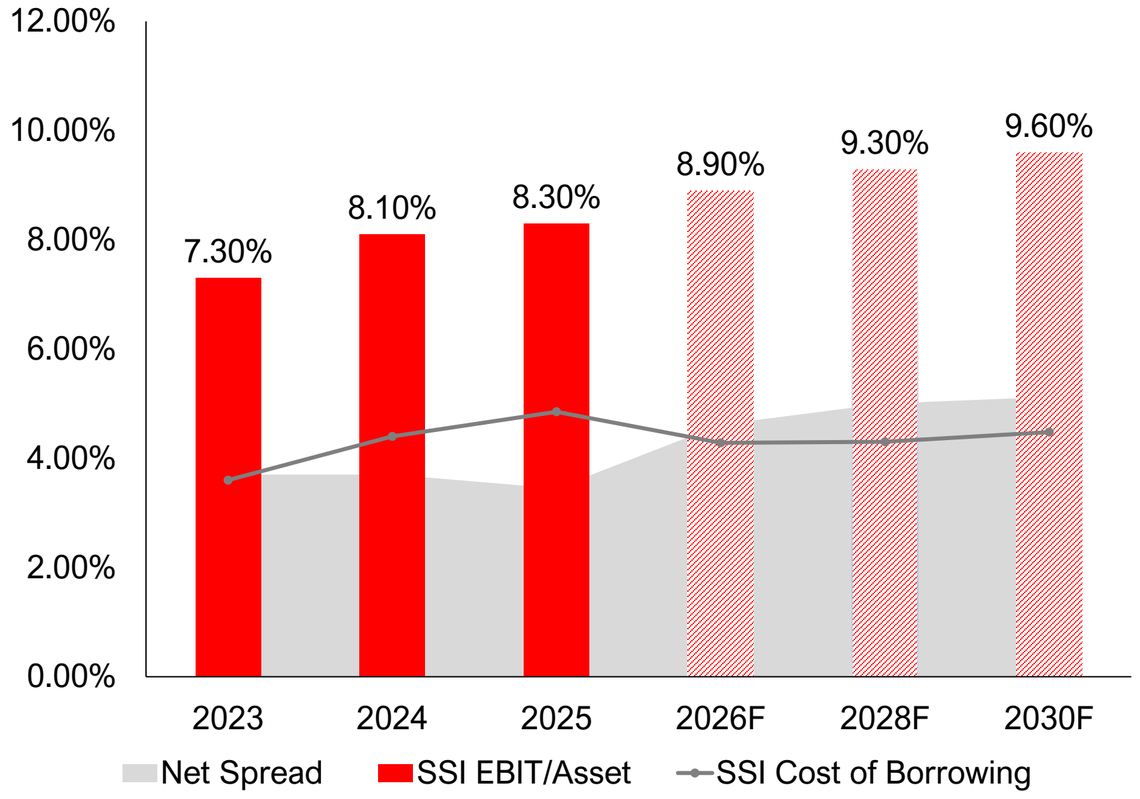


Not yet implemented

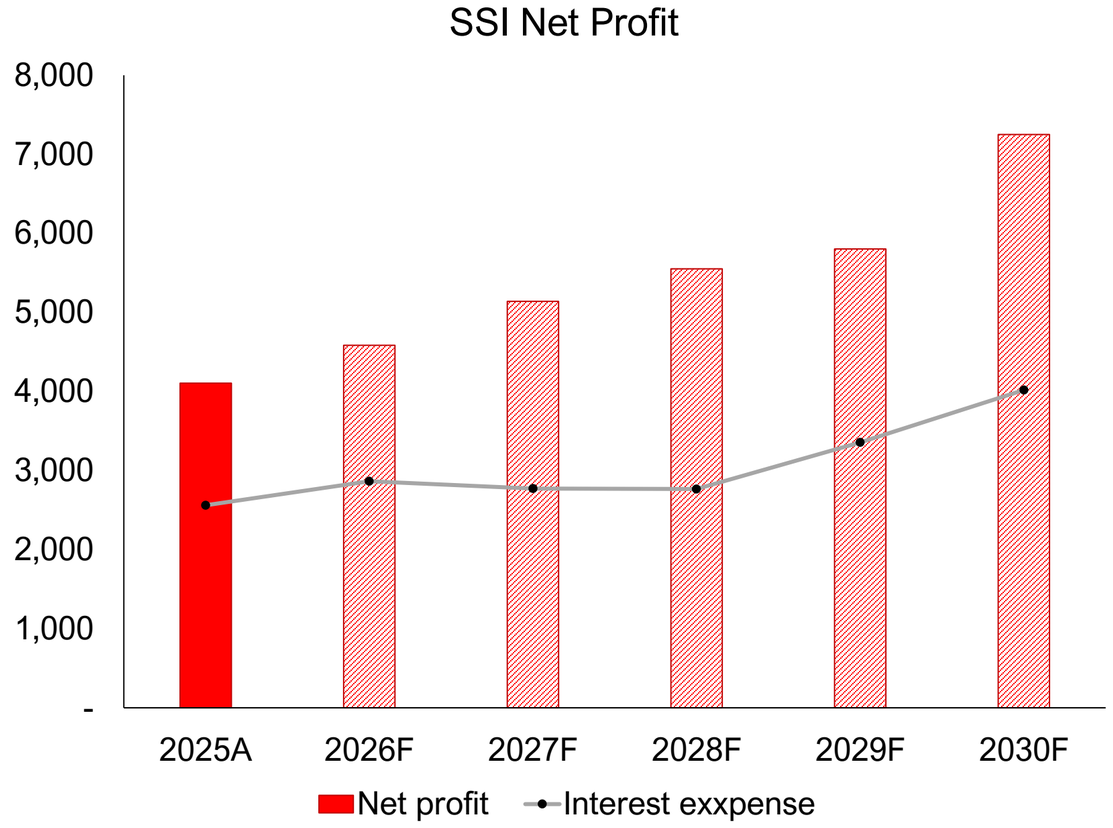
Approved

Source: Fin Top

Highly efficient capital…



Net profit of SSI (VND Bn)



APPENDIX E: REFERENCE

Vy, H. (2026, April). *PMI tháng 3 giảm xuống 51,2 điểm, áp lực chi phí khiến tăng trưởng chậm lại*. VnEconomy. https://vneconomy.vn/pmi-thang-3-giam-xuong-512-diem-ap-luc-chi-phi-khien-tang-truong-cham-lai.htm

Mekong ASEAN. (2026, February 10). *So kè mảng cho vay ký quỹ của các công ty chứng khoán*. Mekong ASEAN. https://mekongasean.vn/so-ke-mang-cho-vay-ky-quy-cua-cac-cong-ty-chung-khoan-51791.html

Strategy Report. (2018). SSI. https://www.ssi.com.vn/en/organization-customer/strategy-report

Hose. (2025, October 7). *SSI mở rộng thị phần môi giới lên mức cao nhất trong 5 năm*. Thời Báo Tài Chính Việt Nam. https://thoibaotaichinhvietnam.vn/ssi-mo-rong-thi-phan-moi-gioi-len-muc-cao-nhat-trong-5-nam-184494.html

World Bank. (2025, October 10). *Vietnam upgraded to emerging markets by FTSE Russell - Fund Selector Asia*. Fund Selector Asia; FSA. https://fundselectorasia.com/vietnam-upgraded-to-emerging-markets-by-ftse-russell/?utm_source=chatgpt.com

Aseansc Resrearch (2025, October). *TRIỂN VỌNG NGÀNH CHỨNG KHOÁN 2026 [KHẢ QUAN].* AseanSc. https://encouraging-apricot-5cjfugxbio.edgeone.app/bao-cao-nganh-chung-khoan-trien-vong-nganh-2026_20251208132109.pdf

Fin Top. (2025). *BÁO CÁO PHÂN TÍCH - NGÀNH THÉP 2025 | Khởi Nguồn Tăng Trưởng Đột Phá Nhờ Thị Trường Nội Địa*. Fintopdata.vn. https://fintopdata.vn/client/about/reader/f8f0b15c-2726-4cd2-91e0-c9b5e457cc34

GBSA Insights. (2019, July 10). *Liquidity flow to Boursa Kuwait expected to reach $2,8bn in case of upgrade to MSCI EM - GCMA*. GCMA. http://gulfcapitalmarket.org/insight/liquidity-flow-to-boursa-kuwait-expected/

SSI. (2025). *Dịch vụ chứng khoán khách hàng tổ chức - SSI*. SSI. https://www.ssi.com.vn/khach-hang-to-chuc/san-pham-va-dich-vu